Where Should We Expand Next?

A Data-Driven Market Evaluation & Business Recommendation

Prepared by: Vyshnav P S | Data Analyst | Source: Yelp Open Dataset (150,243 businesses across major US markets)

EXECUTIVE RECOMMENDATION

Prioritize New Orleans Historical Tours and Santa Barbara Wine Tours for further market evaluation. New Orleans Historical Tours recorded approximately 179 reviews per business across 54 businesses, while Santa Barbara Wine Tours achieved a 4.70 average rating across 55 businesses. These segments stand out on Yelp ratings and review activity and merit competitive assessment, demand validation, and potential pilot testing before any investment decision.

THE BUSINESS QUESTION

Which city-category segments should a business owner, investor, or franchise group investigate first, based on observed customer ratings, review activity, and business presence?

SUPPORTING EVIDENCE

150,243 businesses | **3.60** overall average rating | **44** average reviews per business | **561** qualifying city-category combinations

The 561 combinations met the project's screening thresholds: at least 10 businesses, an average rating of 4.0 or higher, and at least 50 average reviews per business. These are analytical screening criteria, not proof of unmet demand or market saturation.

PRIORITY SEGMENTS FOR FURTHER EVALUATION

City	Category	Businesses	Avg. rating	Total reviews
New Orleans, LA	Historical Tours	54	4.59	9,663
New Orleans, LA	Walking Tours	44	4.55	7,783
Santa Barbara, CA	Tours	86	4.65	5,949
Santa Barbara, CA	Wine Tours	55	4.70	2,962
Nashville, TN	Historical Tours	21	4.55	3,035

WHY THESE MARKETS DESERVE ATTENTION

New Orleans Historical Tours recorded 9,663 reviews across 54 businesses, equivalent to **178.94 reviews per business**—approximately **4.07 times** the dataset-wide average of 44. Santa Barbara Wine Tours recorded a **4.70** average rating across 55 businesses. New Orleans Walking Tours also showed substantial review activity (7,783 reviews across 44 businesses). These metrics indicate comparatively strong Yelp review engagement and satisfaction, but do not independently establish market size or commercial viability.

RECOMMENDED NEXT STEPS

1. Competitive assessment: Map direct competitors, service offerings, pricing, and positioning.

2. Demand validation: Review tourism trends, visitor volumes, search interest, and local demand.

3. Commercial feasibility: Assess operating costs, seasonality, revenue potential, and acquisition costs.

4. Market testing: Consider a focused pilot or partnership before committing to full-scale expansion.

LIMITATIONS

Yelp listings do not represent the complete business population. Review counts measure platform activity, not unique customers, and may be influenced by visibility and marketing. Businesses can appear in multiple categories, so category review totals may overlap. The dataset is concentrated in US markets. Business counts, ratings, and reviews alone cannot establish competition, unmet demand, saturation, or profitability.

Full analysis: Python data preparation, SQL analysis, and Power BI dashboard:
github.com/vyshnavps07-oss/Yelp-Business-Intelligence-Performance-Market-Opportunity-Analysis

Recommendation: prioritize New Orleans Historical Tours and Santa Barbara Wine Tours for investigation—not as confirmed investment opportunities.